



EMPIRE STATE DEVELOPMENT **FILM TAX CREDIT PROGRAM**

AGREED UPON PROCEDURES **May 2026**

The purpose of this document is to set forth the Agreed Upon Procedures (AUP) a qualified CPA firm must follow for inspecting a final application on behalf of a production company for the New York State Film Tax Credit Program.

Background

The New York State Film Tax Credit Program is administered by the ESD Economic Incentives Tax Benefit Program (Film) Dept (hereinafter known as “the Dept”) and provides incentives to qualified production companies that produce feature films, television series, relocated television series, television pilots, television movies, and/or incur post-production costs associated with the original creation of these productions. Program credits of \$800 million per year can be allocated and used to encourage companies to produce projects in New York which help create and maintain industry jobs.

An initial application is submitted prior to the start of principal photography for the project and includes estimated project costs. When an applicant completes the project, a final application must be submitted with actual project information. An Applicant may include an Agreed Upon Procedures (AUP) inspection by a third-party along with the final application. The AUP must be completed by a Certified Public Accountant (CPA) on the ESD vendor list of CPA firms determined to be pre-qualified to conduct a CPA inspection. In addition, the CPA firm must conduct the CPA Inspection according to the Agreed Upon Procedures and Standards indicated in this document.

Qualified production companies must submit a **complete** final application to be allocated tax credits. The Project Summary Form must be submitted online, and the remainder of application must be uploaded through the secure file transfer site. Please refer the applicant to our webpage <https://esd.ny.gov/new-york-state-film-tax-credit-program-production> for the link and instructions to the online application.

Regulatory References

See Title 5 of the New York Codes, Rules and Regulations (NYCRR), Part 170 for regulations governing third –party verification [§§ 170.2 (ac), 170.2 (ao), 170.7].



The purpose of the AUP Report is to ensure and confirm that the production company has met the eligibility requirements of the Program and has submitted as qualified expenditures only those costs that are outlined in Program Materials as eligible for the NYS Film Production Tax Credit. The AUP Report must include the following information:

1. The CPA's name and contact information for the CPA responsible for the review and final approval of this Report
2. The name of the production
3. The date that the agreed upon procedures were completed

The production company's cost information must be presented in U.S. dollars.

The CPA shall perform the following procedures. Any exceptions are to be listed as a finding in the AUP Report.

Eligibility

1. Obtain from the production company a **complete** final application that consists of the following documents. A complete final application means that all required information is provided in the form and manner set forth by the Film Tax Credit Program. (e.g., Budget Cost Qualifier must reconcile to the General Ledgers. Employment Report must reconcile to the employment section in the Project Summary-Final Form. Workforce Utilization Report must include all NY employees listed on Employment Report.) Shoot Days Summary Form must conform to the daily production reports.)
 - a. Project Summary – Final (Applicant entity same as on Initial Project Summary, QPF identified and correct Level, Stage Day(s) appropriate to production level and budget.
 - b. Budget Cost Qualifier – Final (Conforms to all documentation: i.e., Project Summary, separate ledger reports, general ledger. Fulfills threshold requirement for budget: \$1M Downstate; \$250K Upstate but \$500K Upstate to be eligible for 10% additional credit).
 - c. End Credit Requirements (appropriate program credit used)
 - d. Frame Grab of End Credits (adequate support documentation provided)
 - e. Employment Report (includes PR, loan-outs paid via AP with individual identified (f/s/o), extras)
 - f. Daily Production Reports (Industry standard format, complete, verifies stage day requirement)
 - g. Shoot Days Summary (In accordance with Daily Production Reports)
 - h. General Ledger (GL) in its Entirety (See Expenditures, p.5)
 - i. Separate Reports from the GL for each Category of Costs
 - j. Cast & Crew Lists



- k. Schedule of Related Party Transactions
- l. Schedule of Retained Assets
- m. Vendor List (Including name address, city/state and zip code)
- n. Diverse Vendor Report
- o. Workforce Utilization Report
- p. Necessary Supporting Documents for Diversity information (Section 5, Final Project Summary)

For further information about any of the reports, see the Film Tax Credit Program Guidelines at <https://esd.ny.gov/new-york-state-film-tax-credit-program-production>

- 2. Verify the following with a responsible official at the production company (Applicant):
 - a. the Applicant entity is the authorized applicant per program regulations.
 - b. only costs paid as of the post-production completion date (documented by item 3, below) are included in qualified expenditures.
 - c. if any non-reimbursable New York State governmental economic assistance grant funds were provided to the production, determine the use of funds and contact the Dept to discuss potential impact on qualified expenses.
- 3. Obtain and inspect post-production documents for film (e.g., vendor invoices) which verify the date the final elements for the primary venue were created. For television, the qualification period ends at the time the last expenditure directly related to the applicant production is paid. Determine and document the qualification period of the production. The qualification period commences at pre-production and culminates with post-production. These dates must reconcile to section 1-3 in the Project Summary-Final application form.
- 4. Obtain the production company's (Applicant) documentation to support the basis of eligibility, based on criteria below:
 - a. For productions that applied on or after April 1, 2020, for which the majority (greater than 50%) of principal photography shoot days are shot in Westchester, Rockland, Nassau, or Suffolk counties or any of the 5 NYC borough/counties shall have a minimum budget of one million dollars.
 - b. A qualified film for which the majority of principal photography shoot days are in Upstate counties (other than those listed above) shall have a minimum budget of \$250,000. In order to be eligible for additional tax credits Upstate (10% for labor, and additional 10% for non labor production costs when majority of principal shoot days are Upstate), budget must be \$500,000 minimum.
 - c. For a production with total project expenditures (all costs through the completion of postproduction) of less than \$15 million and no more than 51% affiliated with a publicly traded entity, one day of principal photography on a set or sets built specifically for the production at a Qualified Production Facility (QPF) is required. If principal photography also occurred at a Non-Qualified Production Facility, 75% of all qualified costs related to principal photography at all production facilities must be incurred in relation to principal photography at a QPF.

- d. For a production with total project expenditure (all costs through the completion of post-production) of more than \$15 million or more than 51% affiliated with a publicly traded entity, 10% of principal photography days on a set or sets at a QPF is required. If principal photography also occurred at a Non-Qualified Production Facility, determine that 75% of all qualified costs related to principal photography at all production facilities were incurred in relation to principal photography at a QPF. (Note: Non-Qualified Production Facility shoot days must be identified as such in the budget and general ledger.)
- e. A pilot has the same eligibility requirements as outlined in paragraph (c) above.
5. Obtain and confirm the Project Summary Initial Application Submission date was submitted no earlier than 180 days prior to and no later than the day before first day of principal photography. (Inform Dept if this requirement is not met.)
6. Verify that the Applicant has provided written substantiation to identify the type of production and support that the minimum running time was met based on the criteria below:

Television Series- Also referred to as “episodic tv series” means a regularly occurring production intended for its initial run for weekly broadcast on tv whether free or subscription-based service that has a running time of at least thirty (30) minutes (inclusive of commercial advertisement). A television series produced by and for media services providers described as streaming services and/or digital platforms (and excluding network/cable) shall mean a regularly occurring production intended to run in its initial release in a series of narrative and/or thematically related episodes, the aggregate length of which is at least 75 minutes, although the episodes themselves may vary in duration from the thirty(30) minutes specified for network/cable.

Television Film- Also known as “made for television movie”: means a production intended for broadcast on television whether free or via a subscription-based service, which has a running time of at least ninety (90) minutes inclusive of commercial advertisement.

Television Pilot- means the initial episode produced for a proposed tv series which has a running time of at least thirty minutes (including commercial advertisement).

Feature Length Film- means a production intended for commercial distribution regardless of the medium by means of which the film is created or conveyed which has a running time of at least seventy-five (75) minutes in length.

Relocating Television- Relocating tv series (narrative dramatic or comedic series) must have been in production outside NYS for a minimum of six episodes with a per episode budget of \$1 million minimum. For network/cable, the minimum length is at least 30 minutes with commercials; for streaming media, the length must be at least 75 minutes for the total number of episodes in the season. Production costs up to \$6 million for relocation) are eligible for the tax credit for the first season in NYS. (Note: these costs must be submitted in concurrence with the costs for the second season in NYS.)



If the production has not met eligibility standards as noted (item 4, above), there is no need to continue with the CPA Inspection using the AUP. The CPA should notify the production company management to inform ESD that they are ineligible for the credit. If the production submitted an initial application with a total budget of less than \$15 million and a final application with a total budget of more than \$15 million, the CPA should notify the production company management to contact ESD for further instructions and the CPA should temporarily discontinue the inspection using the AUP until they receive additional information from the production company (Applicant).

1. Obtain the production company's documentation (the final application and all relevant information, e.g., invoices, receipts, contracts, etc.) to support, if applicable, qualified production costs incurred outside the qualified production facility based on the criteria listed below:
 - a. If less than \$3 million dollars in QPF stage related costs were incurred, 75% of total principal photography location days are required to be within NY in order for NY location days to qualify for the credit.
 - b. If more than \$3 million dollars in QPF stage related costs were incurred, then any NYS location days are eligible for the credit.

Production Plus – is a new component of the Film Tax Incentive Program, effective 1/1/2025, which enables studios and production companies to receive an additional credit after certain requirements are met. Requirements are: after completion of 2 or more productions in NYS, which have participated in the film production tax credit program, the Applicant entity (or majority owner) may receive additional 5% credit if 2 or more productions previously submitted total \$20 million in qualified costs; the Application entity (or majority owner) may receive an additional 10% after 2 or more productions total \$100 million in qualified costs.

1. Verify that Applicant has indicated Production Plus participation on Initial and Final Project Summary documents.
2. Verify that the Certificate of Conditional Eligibility validates the production's status in Production Plus.
3. Verify with Applicant that the threshold requirement for Production Plus has been met. Verify that the Applicant entity, majority owner, production services company, if applicable, listed in the final Application are identical to the initial application.

Expenditures (Excluding Payroll)



Verify that general ledgers submitted with the final application have at a minimum the following information:

- Account # from BCQ or Category Title
- Names of employees or vendors
- Dates
- Description of purchase
- Amounts
- A Free Field which cites the column of the BCQ in which the amount is included (F1, F2, etc.)

Recommended, but not required:

- Invoice Number
- Payment type (Check, credit card, etc.)
- Payment number if applicable (Check number, etc.)

1. **Inspect the GL reports for non-qualified expenses.** Deduct any errors from the QCS and **remove** them from the population to be sampled. Refer to the Schedule of Qualified Expenditures for Film Production and the Supplement to the Schedule of Qualified Expenditures. Link to QCS and Supplement. (Note that no ATL talent salaries are qualified for applications which submitted initial Project Summary prior to 4/1/2023). Consult the Dept about any expenditure not listed in Schedule. according to category columns on QCS, attach tabbed lists by line item of any non-qualified costs found. The lists must include GL report coding, amount, vendor/person/entity, and nature of discrepancy from the Schedule of Qualified Expenditures.
 - Include out of state custom-made items in inspection and verify that the 60/40 split of 60% non- qualified Out of State (for labor costs) and 40% qualified (for materials) has been listed in the GL reports.
 - Verify that only costs related to the season of a series application currently under review are qualified for that season's application.

2. For each expenditure specified below, the Applicant must provide a New York State Registered Sales Tax Vendor certification downloaded from the [New York State Sales Tax](#) website. Prepare a schedule listing those expenditures which **do not** have accompanying certification. These expenditures must be disallowed. The Qualified Costs Summary must be adjusted accordingly. **Do not** include the vendor certification downloads with the Report. The applicant should retain all documentation in the event the Dept request that it be provided.

The expenditures are:

Office equipment, Grip trucks, equipment transport vehicles, motor homes, dressing rooms, cast and crew transport vehicles, trucks, catering, security services, hotels on distant location.

3. Obtain from the production company a completed Related Party Transaction Report Form located in the Final Application Template Book. Related party transactions are transactions with parties that have a 5% or greater ownership (directly or indirectly) with the applicant entity and are included as qualified expenditures. Attach form to the AUP Report.
4. Verify with an authorized representative of the production company (Applicant) that any qualified expenditures included in insurance claims have been credited both in the GL and in the Budget Cost Qualifier – Final. If the production company filed an insurance claim and received funds, the CPA must inspect the supporting documentation of the claim to verify that the expenditures were properly credited to the correct accounts in the General Ledger and Budget Cost Qualifier.
5. Select a sample of expenditures (excluding payroll) from each of the separate GL reports of qualified costs (NYC Qualified Production Facility; NYS Qualified Production Facility; NYC Qualified Location/Other; NYS Qualified Location Other, etc.) according to the sampling methodology noted in the Sampling Chart.
6. For each expenditure item selected in the sample, perform the following procedures:
 - a. Determine if the expenditure is an allowable cost (refer to the Schedule of Qualified Expenditures and Supplement). For clarification on any cost not identified in schedule, contact the Dept.
 - b. Inspect invoices; proof of payment (e.g., canceled checks, bank statements, credit card statements, etc.). Verify the accuracy of the entry, i.e., the expenditure was paid or incurred for qualified services rendered or goods used in NYS.



- c. Determine that the expenditure was paid by the Applicant entity and recorded net of any refunds, discounts, or purchase returns, as recorded in the GL reports.
 - d. Verify that the expenditure was not for in-kind services.
 - e. For Qualified Upstate County labor (F3,L3) and/or production costs (F4,L4) determine that the expenditure was incurred in an eligible county. Consult the additional credit map on ESD website. (Note – see pg. 10,1)
7. Obtain from the production company a completed Retained Assets Report which is located in the Final Application Template Book. The Form must list assets that were not destroyed in the film production process, and which are being held for future productions or other purposes and have a purchase price over **\$5,000**. Attach schedule to the AUP Report.
 8. Provide a list, obtained from the production company (Applicant), of visual effects and/or digital effects companies which provided services to the production company (Applicant). Ask an authorized representative of the Applicant whether all listed parties have provided the production company with a signed letter on letterhead indicating the total dollar amount of work performed within NYS. Verify that only work performed within NYS by the VFX/Digital FX company is included in qualified expenditures. Adjust QCS for any non-qualified spend. Attach letters with Report.
 9. Verify that Applicant has included in Qualified Costs only the following in re Deliverables – One deliverable in format for intended primary commercial release (DCP or other final locked form of the qualified film), one protection master, and 2-3 DVD equivalents. Production is to identify the primary venue and related deliverable included in the general ledger. Only editorial costs related to that deliverable (no costs incurred after are qualified.)
 10. For non-qualified costs noted in the expenditure test for the sample identified in Category 1 of the Sampling Chart, adjust the Qualified Costs Summary to reflect the results of your testing.

Prepare a list of transactions from Category 2 and Category 3 in accordance with the number of invoices required on the Sampling Chart. Any non-qualified expenditures found during procedure 1 listed above is to be excluded from the sample population. Category 2 and Category 3 are to be evaluated independently from each other and not aggregated. Adjust the QCS for errors noted during your expenditure tests for Category 2 and Category 3. Calculate the rate of misstatement from the expenditure test for each category, 2 and 3



by dividing the dollar amount of the misstated items in each category by the dollar amount of the sample population in each category. This is your rate of misstatement.

12. Perform the following procedures based upon the results of the calculation of the rate of misstatement:

- a. If the rate of misstatement does not exceed 1% of qualified expenditures in the sampled population for Category 2 and/or Category 3, no further action is required.
- b. If the rate of misstatement for Category 2 and/or Category 3 exceeds 1% of qualified expenditures (excluding payroll) in the sampled population, select a second sample set.
- c. According to the sampling methodology noted above for Category 2 and Category 3, test a second sample set and recalculate the rate of misstatement for this second sample set. Do not include the previously selected invoices/transactions in the second sample. If the number of invoices/transactions available for the sample does not meet the minimum number according to the Sampling Chart, include 100% of the invoices not previously included in the samples.
- d. If the rate of misstatement for the second sample does not exceed 1%, adjust the QCS for any known errors in the second sample and no further action is required. If the rate of misstatement from the second sample selection exceeds 1% of qualified expenditures, adjust the QCS for known errors found in the second test AND adjust the remainder of the applicable categories untested expenses by the projected misstatement. The projected misstatement is obtained by multiplying the remaining untested population by the average of the two rates of misstatement. In summary, when the expenditure tests for Category 2 and/or Category 3 exceed 1% for both tests, the deduction for that category will include the known errors found in each of the sample tests plus the projected misstatement on the remainder of the untested population in the applicable category.

Expenditures (Payroll)

1. Compare the qualified payroll expenditures listed in the GL reports to the payroll expenditures on the Employment Report in order to determine that the qualified payroll expenditures are consistent with the New York State Film Tax Credit Program Schedule of Qualified Expenditures for Film Production Credit. Disqualify all salaries, wages, and fees for ineligible personnel on the Qualified Costs Summary. (Note:



After AUP procedures are completed, the Employment Report must be updated, if any changes have been made to ledger reports in re qualified salaries. In addition, the revised Employment Report must reconcile to the Project Summary – Final Employment section.)

(Note: For all initial Applications submitted on or after April 1, 2023, Above the Line – Qualified NY Employees, as defined in the Film Tax Credit Program Guidelines and subject to certain requirements cited below, are eligible for the tax credit. For all initial Applications submitted on or after 1/1/25, revised requirements are indicated in parentheses below.*)

2. For all initial Applications submitted on or after 4/1/23, inspect Above the Line expenditures to determine that no individual's gross wages, salaries, or other compensation exceed \$500,000. Fringes related to the first \$500,000 are not included in the cap. Effective 1/1/25, for all initial Applications submitted on or after 1/1/25, the \$500,000 cap is no longer applicable. (All fringes are included in All Other Qualified Costs.) Deduct any errors from the QCS and remove them from the population to be sampled.
3. For all initial applications submitted as of 4/1/2023, inspect all producer wages, salaries, or other compensation to determine that no more than two producers were qualified (For applications submitted between 4/1/2023 and 12/31/2025, one Line Producer and one Executive Producer position (known as "Showrunner" in tv production)). Productions with producers eligible for this program who are also compensated for another position must elect to choose one of the position's costs for inclusion in their final application.
4. Deduct any errors from the QCS and remove them from the population to be sampled.
5. Select a sample of employees according to the methodology described in the Sampling Chart. For each employee in the sample perform the following procedures:
 - a. Compare the amount of qualified wages (not including box rentals, car allowances, per diems, fringes, etc.) in the separate GL reports of qualified expenditures with the amount on the Employment Report.
 - b. Compare the amount of expenditures for a loan-out company (for services of employee name) in the separate GL reports of qualified costs with the amount on the Employment Report.
 - c. Determine that all wages paid or incurred do not precede the pre-production period identified in the Project Summary nor occur after the postproduction completion date indicated on the Project Summary. For



any exceptions, the production company must provide a written explanation.

- d. Review documentation (e.g., agreements, timecards, call sheets, production reports, travel receipts (airfare, hotel, etc.) to determine that work was performed in New York. Verify that all wages do not include compensation for any work incurred out of the state.
 - e. Determine Above the Line Individuals who are also compensated for another qualified position must elect to choose one of the position's costs for inclusion in their final application.
 - f. For Qualified Upstate County Labor(F3,L3) and/or production costs (F4,L4), determine that the expenditure was incurred in an eligible county. **(Note: see pg. 10,1)**
1. For non-qualified costs noted in the expenditure test in item 4 above, for the sample identified in Category 4 of the Sampling Chart, adjust the Qualified Costs Summary to reflect the results of your testing.
 2. For non-qualified costs noted in the expenditures test in item 4 above, for the sample identified in Category 5 of Sampling Chart: divide the dollar amount of misstated entries by the sample population total amount to obtain the rate of misstatement.
 3. Perform the following procedures based upon the results of the calculation of the rate of misstatement:
 - a. If the rate of misstatement does not exceed 1% of qualified expenditures (payroll), adjust the QCS for known errors discovered in the sample population. No further action is required.
 - b. If the rate of misstatement exceeds 1% of qualified expenditures, select a second additional sample according to the sampling methodology noted above for Category 5. Recalculate the rate of misstatement for the second sample set.
 - c. If the rate of misstatement for the second sample set does not exceed 1%, document the rate of misstatement in the AUP Report and adjust the QCS for known errors discovered in the second sample population. No further action is required.



d. If the rate of misstatement from the second sample selection exceeds 1% of qualified expenditures (payroll), adjust the QCS for known errors found in the second test AND adjust the remainder of the untested Category 5 expenses by the projected misstatement. The projected misstatement is obtained by multiplying the remaining untested population by the average of the two rates of misstatement.

Expenditures (Upstate)

1. Obtain the Qualified Upstate County Labor (F3, L3) and Upstate County Costs (F4, L4), separate GL reports, review to exclude non-qualified costs found as a result of applying previous procedures, and perform the following:
 - a. Determine that the Company's total budget is over \$500,000 in order to demonstrate eligibility for additional 10% labor in Upstate counties per the additional credit map on ESD website.
 - b. Determine that the Company's total budget is over \$500,000 and that the company shot the majority (over 50%) of principal photography days in any of the Upstate counties per the additional credit map on ESD website to demonstrate eligibility for the additional 10% credit in upstate counties.
 - c. Deduct any errors found as a result of applying the above procedures.
 - d. If eligibility for procedure 1b is not met, deduct any non-labor related expenses including but not limited to per diems, box rentals, travel to/from non-upstate counties.
 - e. Reclassify labor expenditures not incurred in an eligible county.

To the QCS, attach a tabbed list of any reclassified costs found. The list should include GL report coding, amount, vendor/person/entity and the nature of discrepancy.



Wrap Up Procedures

Inspect the Project Summary Initial Application submission date to determine the allowable tax credit percentages. Verify that the appropriate tax credit rate is applied to each final application. The basic tax credit rate is based on the initial application submission date (Effective Date). Prior to 4/1/2020, all applications submitted before that date have an applicable basic tax credit rate of 30%. For initial applications submitted between 4/1/2020 and 3/31/2023, basic tax credit rate is 25%. For initial applications submitted from 4/1/2023 through the present, the basic tax credit rate is 30%.

In addition to the basic credit rates, the rate of additional credit for Upstate costs are as follows: Effective 1/1/2015, labor costs incurred in Upstate counties are eligible for an additional 10% tax credit. Effective 1/1/2025, if an Applicant shoots the majority (51%) of principal photography days in approved Upstate counties, production costs incurred Upstate as well as labor is eligible for an additional 10% tax credit. Production Plus increases the tax credit rate for all eligible applications. (See Below)

Music Scoring: If a production employs 5 or more musicians in the creation of a musical score, all scoring costs are eligible for an additional 10% credit on scoring costs, including labor.

1. For all productions seeking eligibility for additional 10% on labor costs incurred in Upstate NY and/or production costs incurred in Upstate NY (if majority of principal shoot days are in Upstate NY), Budget must exceed \$500,000.

For productions that applied before April 1, 2020: 30% on eligible production expenditures and an additional 10% on qualified labor expenses in Upstate counties per the additional credit map.

For productions that applied on or after April 1, 2020, but before April 1, 2023: 25% on eligible production expenditures and an additional 10% on qualified labor expenses in upstate counties per the additional credit map.

For productions that applied on or after April 1, 2023: 30% on eligible production expenditures and an additional 10% on qualified labor expenses in upstate counties and an additional 10% on qualified production costs in upstate counties if the majority of principal photography days occurred in any of the upstate counties per the additional credit map.

For productions that applied on or after January 1, 2025: if production plus participation is verified, an additional 10% for any production eligible; for



independent production companies only, an additional 5% for any production eligible.

2. Verify that the eligibility thresholds defined in procedures 4 and 5 Eligibility are met after all adjustments to the QCS have been made.
3. Verify that the Expenditures (Above the Line) do not exceed more than 40% of all other qualified production costs after all adjustments have been made to the QCS. If greater than 40% reduce the amount of Expenditures (Above the Line) over the 40% on the QCS in the NYC columns (F1/L1). If still greater than 40%. reduce the amount of Expenditures (Above the Line) from the NYS columns (F2/L2), then the Upstate columns (F3/L3). Note: Expenditures (Above the Line) refer to Above the Line – Qualified NY Employees expenditures as defined in the Film Tax Credit Program Guidelines as of April 1, 2023 .
4. Calculate the tax credit issued based on the allowable percentages after all adjustments have been made to the QCS. Separately, note the Diversity Job Training Fund Reduction based on Certificates issued on or after January 1, 2023, shall be reduced by one half of one percent (0.50%) the amount of tax credit allowed to the taxpayer.



Include the following with Agreed Upon Procedures Report:

1. Table of Contents
2. Qualified Costs Summary with adjustments for non-qualified costs and revised total qualified costs. Include non-qualified line items and reason for disqualification on each appropriate tab on the QCS. Include QCS in Report and send to applicant as an Excel file.
3. Sampling documentation, including the calculation of misstatement percentages, for both non-payroll (Category 2 and Category 3) and payroll (Category 5) expenditures per the Sampling Chart. Attach a list of any non-qualified costs noted in the expenditure test (both general and payroll). The list is to include GL report coding, amount, vendor/person/entity and nature of discrepancy from the Schedule of Qualified Expenditures.
4. Related Party Transactions (if applicable)
5. List of Retained Assets (if applicable)
6. Attach all verification letters (e.g., VFX letters)
7. Attach final element verification.



**EMPIRE STATE DEVELOPMENT
FILM TAX CREDIT PROGRAM**

AGREED UPON PROCEDURES FOR CPA INSPECTION OF FINAL APPLICATION

Note: Samples from individual vendors should not exceed 2 per vendor per sample unless there are not enough vendors to meet this sampling requirement.

**SAMPLING CHART EXPENDITURES
(excluding Payroll)**

Samples must be chosen from each column of qualified costs on Budget Cost Qualifier in proportion to their percentage of the total qualified costs in each category for the project, less Category 1 costs. All Category 1 costs should be sampled.

		CATEGORY 1	CATEGORY 2	CATEGORY 3
		Items \$10,000 and over	Items under \$10,000 and over \$1,000	Items \$1,000 and less
QUALIFIED EXPENDITURES				
\$0 - \$1,000,000	All items		25	25
\$1,000,001 - \$5,000,000	All items		50	25
		\$20,000 and over	Under \$20,000 and over \$2,500	Items \$2,500 and less
\$5,000,001 - \$10,000,000	All items		60	25
\$10,000,001 - \$25,000,000	All items		75	25
\$25,000,001 +	All items		100	25

¹For productions with postproduction costs included in qualified costs, sampling should include postproduction costs in proportion to its percentage of total costs for production. ²For TV series, sampling should include each episode of series, as well as amortization costs if the series and amortization budget reports from the general ledger are 2 separate reports.



**EMPIRE STATE DEVELOPMENT
FILM TAX CREDIT PROGRAM**

**AGREED UPON PROCEDURES FOR CPA INSPECTION OF FINAL APPLICATION
SAMPLING CHART**

PAYROLL EXPENDITURES

CATEGORY 4

CATEGORY 5

**Employees with top
5 Total
Qualified Wages**

**Employees with
Total Qualified
Wages under top
5**

QUALIFIED EXPENDITURES

\$0 - \$500,000	All items
\$500,001 - \$1,000,000	All items
\$1,000,001 - \$5,000,000	All items

5
10
20

**Top 15 Total
Qualified Wages**

**Under Top 15
Total Qualified
Wages**

\$5,000,001 +	All items
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25
